

CHEWY INC CHWY

August 07, 2026 - 5:08pm EST

by

PZGR39

			2026	2027
Price:	23.57	EPS	0	0
Shares Out. (in M):	409	P/E	0	0
Market Cap (in \$M):	9,630	P/FCF	0	0
Net Debt (in \$M):	3	EBIT	0	0
TEV (in \$M):	9,633	TEV/EBIT	0	0

Description

CHWY was last written up on VIC by virtualodin in Nov 2022 as a short, which has played out well. Today, we believe an opportunity exists in Chewy because the stock has been depressed on negative customer growth and a substantial increase in S&M intensity per new customer. However, since Q2 2024, active customer growth has reaccelerated and has since maintained a healthy clip while S&M intensity has declined. With this improvement in fundamentals, margins have begun to inflect positively, paving the way for potential multiple expansion going forward. Our PT of \$36/share implies ~50% upside from a share price today of \$23.57.

Starting off, we think it's worth summarizing virtualodin's original short pitch from 2022.

1. Inflation and COVID masked underlying volume weakness

- This reversion played out exactly as expected, with negative quarterly net adds from Q1 2022 thru Q1 2024. Since then, net customer adds have averaged 0.2mm/quarter.

2. Online penetration is maximized

- Virtualodin was right in 2022 that online penetration had peaked. At that time, penetration was ~48% and proceeded to fall to 36% in 2023 in the post-COVID normalization. However, it has since renormalized to the growth trend, hitting 41% in 2025 and is continuing to accelerate towards a mgmt goal of 45-50% in the next 3 years.

3. Margin profile is structurally capped by Amazon

- The core criticism was that gross margins were capped by Amazon's scale and infrastructure advantages. At the time of the pitch, gross margins were 26.9%, roughly in-line with mgmt's LT targets of 25-28%. However, since then mgmt has updated their LT targets to 29-32%, citing a growing ad business, expansion of private label offerings, and growth in their premium health and wellness vertical.

Business Overview

Chewy (CHWY) was founded in 2011 and IPO'd in 2019. They report in the following segments:

Consumables (~70% of sales)

Offers consumables like food, treats, and dietary products

Pet Health and Specialty Products (~16% of Sales)

Sells pet medications and compounded formulations.

Hardgoods (11% of sales)

This is the more discretionary side of the product line, which includes things like beds, crates, toys, etc.

Other (3% of sales)

This segment lumps miscellaneous, higher margin revenue lines together, including sponsored ads, Chewy+ subscriptions, and the newly-launched Chewy Vet

Clinics.

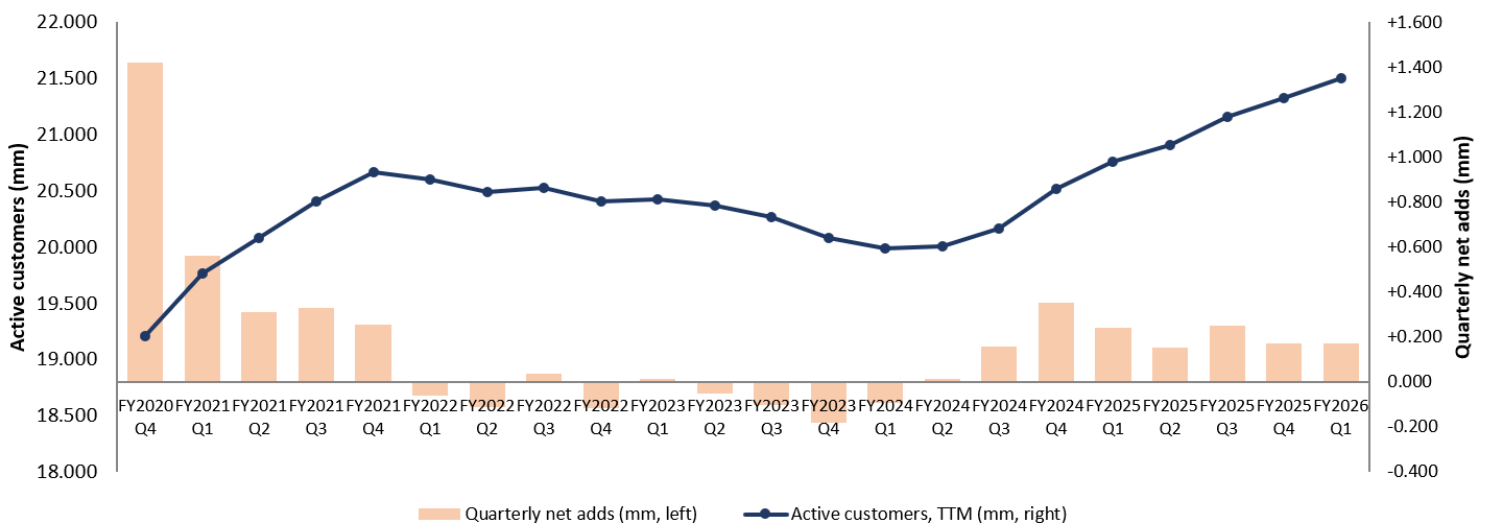
Thesis

Chewy is gaining share, allowing them to grow at mid-to-high single digits even in a weak consumer spending environment

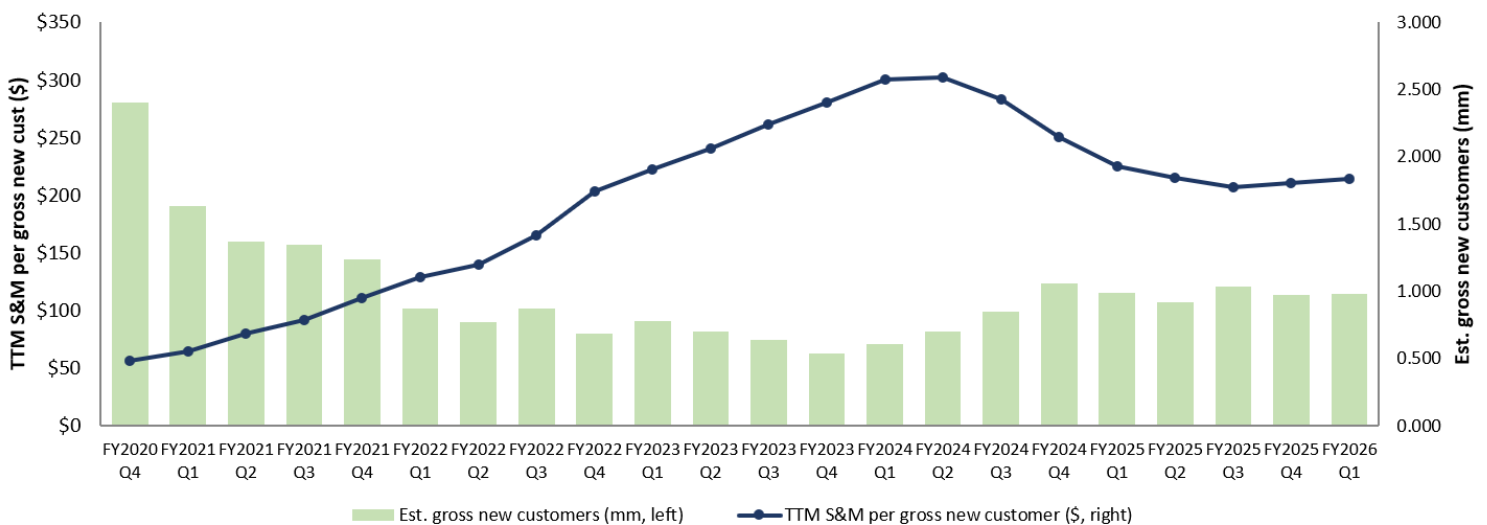
CHWY defines consumer pet care as a \$160b market, in which their FY25 revenue of \$12.6b yields ~8% market share. Within online pet care specifically, CHWY holds about a 41% market share. Amazon has a similar share, with the rest distributed between Walmart, Petco, and PetSmart. Even amidst a weaker consumer backdrop, the total pet industry has been growing LSD, with Chewy's incremental share gains driving 6-7% revenue growth.

Although active customers normalized after the COVID spike, Chewy has since returned to 3-4% growth in the past two years. Importantly, this reacceleration in net adds came while keeping S&M spending at 6-7% of net sales, and growth has now stabilized at a respectable 200k active customer adds/quarter.

3 | Active customers, TTM

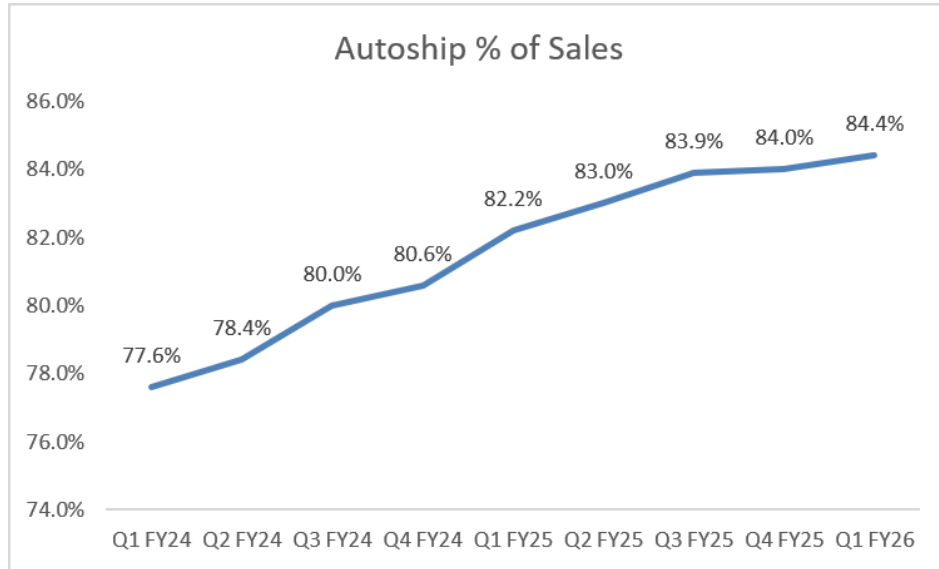


4 | S&M per gross new customer, TTM



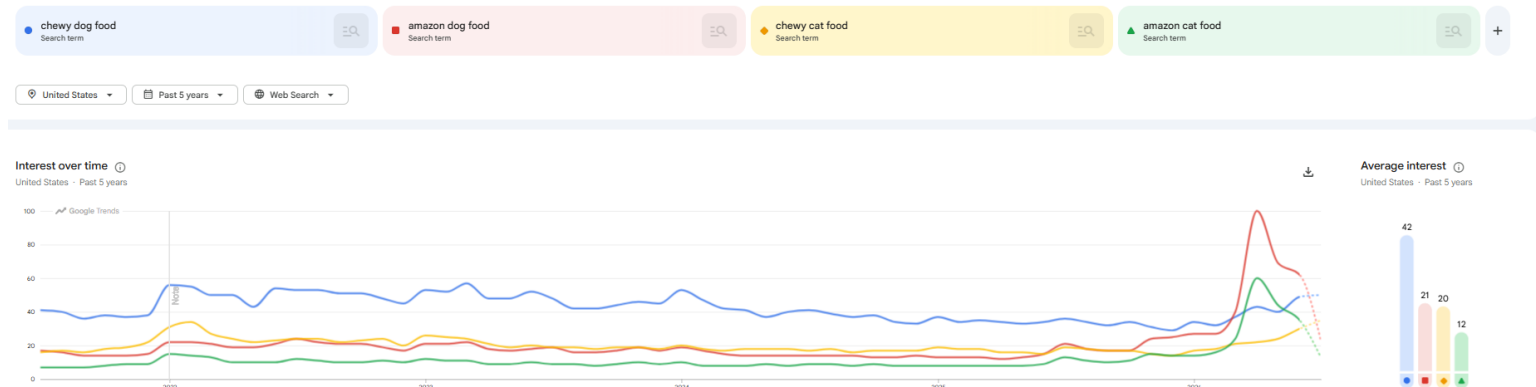
There are a few levers that allow CHWY to continue gaining share in the future:

Firstly, a large and growing portion of CHWY's revenue (currently 84.4%) comes from Autoship, which are recurring shipments of consumables.



The reason this option is so appealing for customers is because pet food scheduling is extremely predictable and pet food is bulky/annoying to handle. This is largely similar to Amazon's subscribe and save feature, but Chewy differentiates off of unique category-specific offerings stacked on top of autoship: vet telehealth, insurance, pharmacy, expansive private label offerings, and physical clinics, none of which Amazon has an equivalent for.

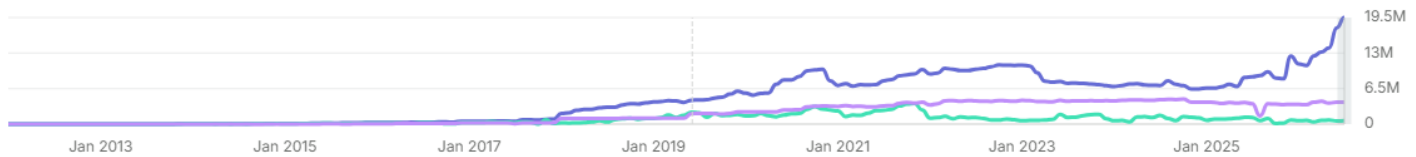
As a data point on stickiness, Amazon ran Pet Days in May and Chewy saw no discernible change in demand. One promo window isn't proof of a moat, but it is consistent with the idea that Chewy's base isn't shopping on price at the margin and is likely unwilling to switch off their existing Autoship orders for temporarily promotional activity.



Secondly, while the online penetration trajectory that management extrapolated forward during COVID was obviously wrong, we are seeing online penetration growth start to pick up again after stalling out around 35-40% in the last few years. In addition to the avoiding the annoyance of wrangling bags of pet food manually, Chewy carries a 3-16% price advantage vs grocery stores and pet stores. This pricing advantage combined with the natural demographic shift towards younger pet owners in Millennials and Gen Z that are much more likely to purchase online means that we believe the online shift is both durable and inevitable. Management expects online penetration to reach 45-50% in the next few years, which we find quite reasonable and can be seen in traffic to Chewy's site over the past decade.

Traffic

☒ Organic Traffic
 ☒ Paid Traffic
 ☒ Branded Traffic
 ☐ Notes



The Chewy Health ecosystem is a growth lever that is both margin accretive and differentiated

We should start with Chewy Pharmacy, which launched in 2018 and today has become the largest pet pharmacy in the US with a 40-45% market share, similar to their overall business. Management doesn't break out their pharmacy performance independently, but the Health segment is responsible for \$3bn of the \$9bn in revenue growth Chewy has experienced from 2019-2024.

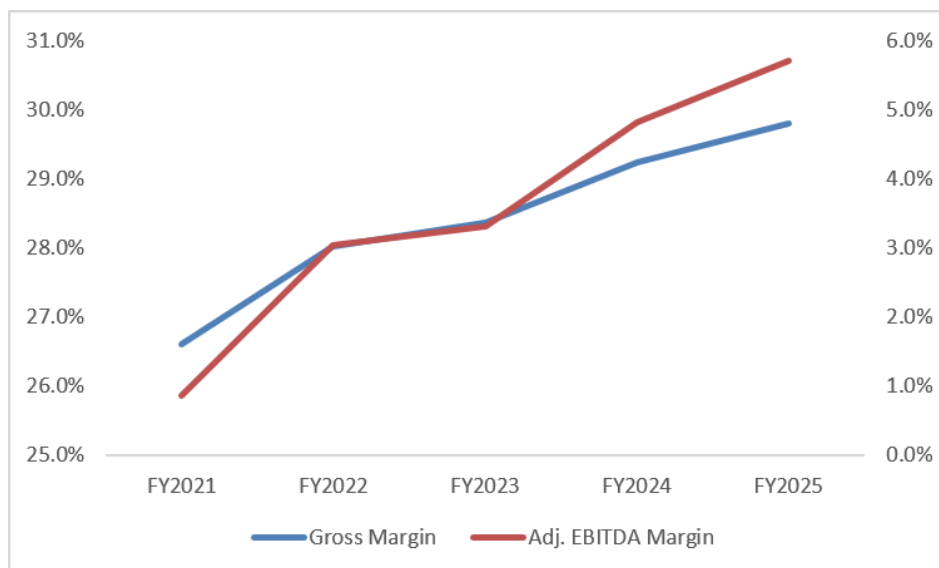
Today, Chewy Pharmacy's penetration within their own active customer base is 25%, with net spend per active customer (NSPAC) increasing by an incremental \$300 to \$500 when a customer enters into pharmacy sales. Notably, pharmacy sales come in at gross margins of ~45% vs the business average of 30%.

We believe that pharmacy penetration will only continue to increase, as the ~23 million pets adopted during the pandemic begin reaching middle age and drive more frequent vet visits and medication needs. Pharmacy penetration also rose steadily in the years when the business was slowing down the most, proving that this segment is durable and relatively non-cyclical.

We should also discuss the buildout of Chewy Vet Clinics (CVC). These are fully owned and operated vet clinics that, at maturity, generate \$3.5mm of four-wall revenue at a 22% EBITDA margin (770k/clinic). With the acquisition of Modern Animal's 29 clinics this year, Chewy is expected to exit the year with ~60 clinics. Though that is only about ~\$45mm of incremental EBITDA at maturity compared to Chewy's \$719mm adj. EBITDA in 2025, we believe these clinics strengthen the margin expansion and stickiness of the overall platform and offer avenues to grow customer adoption. 60% of CVC customers are existing Chewy customer and see a 15-20% increase in NSPAC after their first clinic visit, while new customers average \$900 in first year spend with Chewy (~5x the average customer).

Margin Expansion

The traditional complaint with e-commerce is its low-margins, especially for businesses in direct competition for Amazon. While that is a valid concern, Chewy has found various avenues to expand their margins.



As mentioned, pharmacy gross margin is 1,500 bps higher than the core business, and penetration is ~25%. Private label has ~250-500 bps higher gross margin than the core business, and penetration is ~5% (management target 15-30%). Sponsored Ads has a ~70% gross margin, and is currently 1% (management target is 3%). We believe these 3 levers should be sufficient to expand gross margin by 400-500bps over the next 5 years.

Management puts their long-term adjusted EBITDA margin target at 10%, expecting it to expand 100 bps/year. Chewy completed a buildout of 18 fulfillment centers across the US in early 2024, which today are running at ~70% utilization. We believe that with increased volume and the high fall-thru of pharmacy, private label, and ads, this is easily achievable.

Management

In terms of management, CEO Sumit Singh joined Chewy in 2018 after a 4 year tenure in operations at Amazon and CFO Christopher Deppe was appointed in February 2026 after serving as VP of Finance for 4 years. Prior to that, he served in various finance roles at Amazon for 16 years. Both Mr. Singh and Mr. Deppe's e-commerce experience at Amazon is well suited to operating Chewy's core retail business. We view them as a disciplined, ROI-driven team, given their willingness to let customers flatline in 2023-24 instead of burning marketing dollars.

Valuation

We model active customers growth of 3% and NSPAC growth of 4% through FY28 vs a historical CAGR of 2.1% and 9.7% from FY20-FY25, resulting in a ~7% CAGR and \$15.5b of revenue. We expect ~8% adj. EBITDA margins in FY28, which would yield \$1.27b of EBITDA. Excluding \$300m of SBC and applying a 15x EV/EBITDA multiple gets us to ~\$36/share, or a 60% return in 2 years. For context, a 7% CAGR is about 2x the low-to-mid single digit growth that the industry grows at in a weak consumer environment. If the consumer backdrop recovers, we could see closer to double digit growth rate for Chewy.

Fiscal Year	FY2021	FY2022	FY2023	FY2024	FY2025	FY2026E	FY2027E	FY2028E	FY2029E	FY2030E
INCOME STATEMENT										
Net sales	8,967.4	10,119.0	11,147.7	11,861.3	12,601.5	13,617.9	14,587.9	15,536.1	16,468.3	17,374.0
YoY growth	12.8%	12.8%	10.2%	6.4%	6.2%	8.1%	7.1%	6.5%	6.0%	5.5%
Cost of goods sold	6,581.9	7,284.5	7,986.2	8,393.6	8,847.6	9,488.0	10,091.9	10,681.9	11,264.3	11,814.3
Gross profit	2,385.5	2,834.5	3,161.5	3,467.7	3,753.9	4,129.9	4,496.0	4,854.2	5,204.0	5,559.7
Gross margin	26.6%	28.0%	28.4%	29.2%	29.8%	30.3%	30.8%	31.2%	31.6%	32.0%
Selling, general & administrative	1,840.1	2,128.7	2,442.7	2,551.0	2,674.7	2,820.7	2,971.9	3,118.5	3,293.7	3,440.1
SG&A (% of sales)	20.5%	21.0%	21.9%	21.5%	21.2%	20.7%	20.4%	20.1%	20.0%	19.8%
Advertising & marketing	618.9	649.4	742.5	804.1	824.9	877.1	927.2	971.9	1,037.5	1,077.2
Advertising (% of sales)	6.9%	6.4%	6.7%	6.8%	6.5%	6.4%	6.4%	6.3%	6.3%	6.2%
Income (loss) from operations	(73.6)	56.4	(23.6)	112.6	254.3	432.0	597.0	763.9	872.8	1,042.4
Operating margin	-0.8%	0.6%	-0.2%	1.0%	2.0%	3.2%	4.1%	4.9%	5.3%	6.0%
NON-GAAP & PER SHARE										
Depreciation & amortization	55.3	83.4	109.7	114.6	129.3	154.0	166.0	178.0	210.0	232.0
Share-based comp + related taxes	85.3	163.2	248.5	332.1	311.2	306.4	312.0	316.0	300.0	300.0
Net margin	110.1%	53.2%	67.5%	58.2%	43.3%	33.5%	28.7%	24.9%	21.5%	18.9%
Adjusted EBITDA	77.5	306.7	368.1	570.5	719.2	915.6	1,087.0	1,269.9	1,394.8	1,586.4
Adjusted EBITDA margin	0.9%	3.0%	3.3%	4.8%	5.7%	6.7%	7.5%	8.2%	8.5%	9.1%
ex-SBC EBITDA	(7.8)	143.5	119.6	238.4	408.0	609.2	775.0	953.9	1,094.8	1,286.4
YoY growth		-1939.7%	-16.7%	99.3%	71.1%	49.3%	27.2%	23.1%	14.8%	17.5%
ex-SBC EBITDA margin	-0.1%	1.4%	1.1%	2.0%	3.2%	4.5%	5.3%	6.1%	6.6%	7.4%
Adjusted net income	10.1	226.5	296.2	446.8	540.5	656.3	780.7	909.9	972.6	1,098.3
Diluted shares (M)	417.2	427.8	432.0	431.0	425.8	417.5	414.5	411.5	405.0	400.0
Diluted EPS (\$)	\$0.18	\$0.12	\$0.09	\$0.91	\$0.52	\$0.79	\$1.10	\$1.41	\$1.63	\$1.97
Adjusted diluted EPS (\$)	\$0.02	\$0.53	\$0.69	\$1.04	\$1.27	\$1.57	\$1.88	\$2.21	\$2.40	\$2.75
KEY PERFORMANCE INDICATORS										
Active customers (000s)	20,663	20,405	20,083	20,514	21,327	22,037	22,807	23,617	24,444	25,177
Net sales per active customer (\$)	\$434.00	\$496.00	\$555.00	\$578.00	\$591.00	\$611.00	\$631.00	\$651.00	\$677.04	\$702.77
CASH FLOW										
Cash from operations	191.7	349.8	486.2	596.3	691.6	807.9	959.7	1,100.9	1,195.6	1,348.3
Capital expenditures	(183.2)	(230.3)	(143.3)	(143.8)	(129.2)	(152.7)	(164.0)	(176.0)	(181.2)	(191.1)
% of Revenue	-2.0%	-2.3%	-1.3%	-1.2%	-1.0%	-1.1%	-1.1%	-1.1%	-1.1%	-1.1%
Free cash flow	8.6	119.5	342.9	452.5	562.4	655.2	795.7	924.9	1,014.5	1,157.2
FCF margin	0.1%	1.2%	3.1%	3.8%	4.5%	4.8%	5.5%	6.0%	6.2%	6.7%
ex-SBC CF	(76.7)	(43.7)	94.4	120.4	251.2	348.8	483.7	608.9	714.5	857.2
FCF margin	0.1%	1.2%	3.1%	3.8%	4.5%	3.7%	4.8%	5.7%	6.3%	7.3%
ex-SBC CF YoY growth		-43.0%	-316.0%	27.5%	108.6%	38.9%	38.7%	25.9%	17.3%	20.0%
VALUATION										
Enterprise value (\$M)	21,276.0	15,944.0	7,138.0	13,692.0	8,380.0	12,184.6	13,174.5	14,308.3	13,137.8	15,437.3
Market capitalization (\$M)	21,444.0	16,122.0	7,715.0	13,754.0	9,380.0	11,161.6	13,060.7	14,613.9	14,289.3	15,429.9
EV / Adj. EBITDA	274.5x	52.0x	19.4x	24.0x	11.7x	13.3x	12.1x	11.3x	9.4x	9.7x
EV / ex-SBC EBITDA	-272.7x	111.1x	59.7x	57.4x	20.5x	20.0x	17.0x	15.0x	12.0x	12.0x
P / FCF	2493.5x	134.9x	22.5x	30.4x	16.7x	17.0x	16.4x	15.8x	14.1x	13.3x
P / ex-SBC FCF	-279.6x	-368.9x	81.7x	114.2x	37.3x	32.0x	27.0x	24.0x	20.0x	18.0x

Exit method		FY2028E (3-yr)		FY2030E (5-yr)	
		Upside	IRR	Upside	IRR
EV / ex-SBC EBITDA		63.2%	17.7%	75.2%	11.9%
P / ex-SBC FCF		55.8%	15.9%	64.5%	10.5%

Risks:

PE Overhang: BC Partners owned 75% of Chewy at IPO and still owns 43% today, with >80% of the voting power. We believe this is a meaningful overhang on the stock and may result in a re-rating once BC exits.

SBC: SBC is a recurring expense for Chewy and made up 43% of adjusted EBITDA in FY25. Even with their share repurchases to neutralize this, it is still a substantial cost to shareholders. Management has guided for SBC to be flat going forward, and it is excluded from our EBITDA calculations.

Amazon: If Amazon were to more aggressively pursue the petcare space, we could see a continued decline in the stock. However, pet products make up ~2% of Amazon's marketplace sales today and pricing is effectively at a floor due to manufacturer MAP pricing. We believe any strategic moves would only mirror Chewy (eg. expansion in vets, pharmacy, private label), and thus would serve to increase their stickiness as opposed to taking durable share from Chewy.

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

earnings, margin expansion, BC Partners exit

Messages

Subject agreed
Entry 08/09/2026 11:42 AM
Member Motherlode

PZGR39 - solid write up. I am a new holder and agree completely. I would add some points which helped me get over the hump.

- 1) CHWY is the low cost competitor. Unlike amazon and walmart who built their online fulfillment to be drop ship in heterogeneous way. CHWY's is designed to be shipped repeatedly on a homogenous basis. this fulfillment mechanism massively cuts costs and is a decided competitive advantage for most americans who value cheap dog food with zero hassle.
- 2) this is a quasi oligopoly market. you have 3 leaders with online taking share. (chewy, amazon, walmart). Chewy has a decided cost advantage which is extremely hard to replicate. further chewy is the one of the few online only companies which builds an emotional bond in this category which is highly emotional. it has fantastic customer service and sends flowers when a dog dies - most often the only entity which shows any real emotion on the loss.
- 3) Puppy apocalypse might be over. there was a surge in puppy adoptions in covid. then, 4+ years of deep cyclical trough as the dog population mean reverted back to normal. based on our analysis - which is imperfect as the dog data is not meticulously collected - it appears that 4 years of material lower (25-40%) puppy adoption... we believe we might have reverted back to 2019 household penetration on dog ownership. if so, puppy adoption needs to move material higher or we are talking about a seismic collapse in HH ownership of dogs. to be clear, dog ownership has become more expensive and there could be a lower HH % ownership by the end of the decade. however, puppy adoptions need to move materially higher or this would represent a staggering shift in dog ownership. Of note, puppy searches are up 8-9% on google trends for the year. further, BOFA pet spend is trending +VLSD for the first time in a while. if puppy adoptions normalize, this is a material driver as new puppies need new beds, toys, cages, etc... far more than older dogs. should 2027 see an inflection, it COULD/SHOULD be material driver of comps and an underappreciated tailwind, especially as Chewy has gained a lot of share since normal puppy adoption days of 2018/19.

Subject Pet Food Unit Economics for CHWY?
Entry 08/09/2026 01:45 PM
Member natey1015

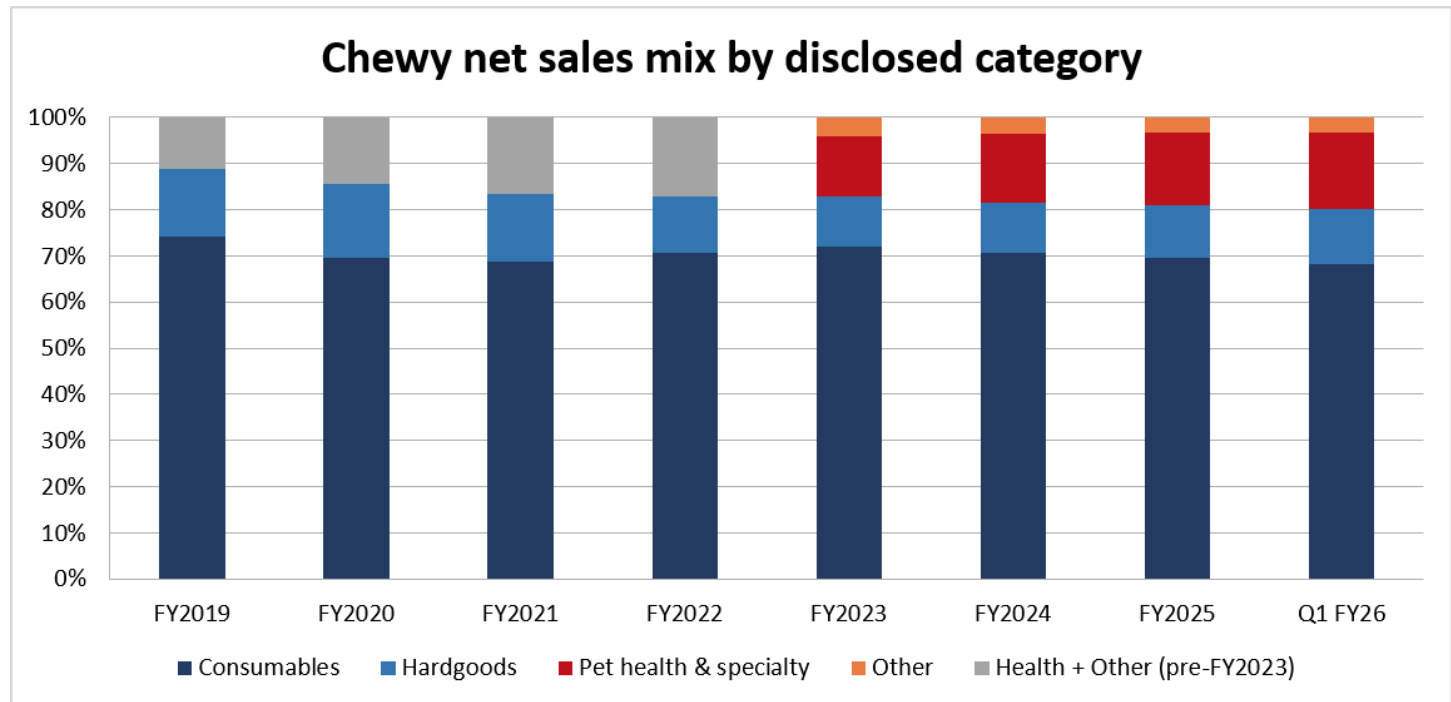
When I was an analyst back in the day, my old firm was one of the largest shareholders of Petsmart before it was taken private. I was the point person on the investment and knew the industry quite well. The biggest issue with CHWY's business model is the terrible unit economics on the typical pet food that is shipped to the average customer. The issue is the high weight relative to the low gross profit per unit sold. And unlike AMZN which has its own delivery network and thus does not have to be directly profitable on the delivery itself, CHWY has to use a third party such as UPS/FDX to deliver, which needs to make a profit. This shows up in the financials where CHWY has a ~3% operating margin compared to ~10% for Petsmart back in the day. This alone puts CHWY at a structural cost disadvantage vs. AMZN. CHWY's model is to try to sell as much higher margin/lower weight items along with food such as treats, toys, meds and other products/supplies. So to that end, do you know what the current business mix and relative margin profile (including delivery cost) is for CHWY between food, treats, toys, meds, other products/supplies as well as services/vet care and how that mix has changed over the past few years? My recollection is food was over half the sales mix for Petsmart. Thanks in advance.

Subject Re: Pet Food Unit Economics for CHWY?
Entry 08/10/2026 12:26 PM
Member PZGR39

Hi natey1015, appreciate your question and we largely have the same view on Chewy's mix shift as the main driver of margin improvement.

On the Petsmart/Chewy operating margin delta: Chewy already incorporates freight and shipping cost into their COGS, which we estimate runs at ~10% of sales today vs a consolidated gross margin of ~30%. Petsmart in 2013 had a similar 30.2% gross margin, mostly due to store occupancy costs and store distribution, which we estimate also ran at ~10% of sales (though you probably know more than us on that). The difference in operating margin is almost entirely due to a ~4.5% difference in advertising expense and a ~2% difference in SBC. If you were to normalize for the difference in growth profiles (Chewy L5Y revenue CAGR of 12% vs Petsmart at 6.4%, with Chewy potentially reaccelerating), we think the difference in opex and SBC is non-structural and can be closed by the mix shift and operating leverage we talked about in the writeup. For context, from FY20-25, Chewy expanded operating margin by 329 bps and gross margins by 431bps.

On the mix today and its evolution over time: For relative category gross margins, we estimate consumables at ~24%, hardgoods at 35%, pet health + specialty at 44%, and other (incl. Services, insurance, clinics, and private label) at 75%. Our estimates include delivery costs. Attached below is a chart of the mix shift over time (health was only broken out from FY23-FY25). Though it's certainly not a dramatic shift from consumables to other lines, with incremental revenue coming in at ~33% GM and 1-2% mix shifting from consumables (24% GM) to other (~40-44% GM) annually, we think this sustains 40-80bps of annual consolidated GM improvement moving forward.



Hope that answers your questions.

Subject Entry Member	Re: Re: Pet Food Unit Economics for CHWY? 08/10/2026 07:52 PM natey1015
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This is helpful, thank you. If they can execute on the services/health side then it's a reasonable thesis that the operating margin should increase over time. But I wouldn't add back SBC as it's a real compensation expense.

Subject Entry Member	Re: Re: Re: Pet Food Unit Economics for CHWY? 08/11/2026 09:25 AM PZGR39
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We certainly agree with you on SBC, our original writeup may have had unclear phrasing about that but SBC is fully expensed and accounted for in our EBITDA projections and valuation discussion.